

Department of Banking Inspection-2
Bangladesh Bank
Head Office
Dhaka

DBI-2/Div-1/Circular No-01

Falgun 28, 1415
Date: -----
March 12, 2009

Chief Executives
All Scheduled Banks in Bangladesh/
Karmashangosthan Bank/ Grameen Bank/
Ansar VDP Unnayan Bank/
Investment Corporation of Bangladesh(ICB)

Dear Sir,

Arrangement of separate meeting of the Board of Directors in order to ensure compliance with the
Comprehensive Inspection Report prepared on the Head Office of the bank

It is the established practice that banks shall place before their boards of directors the comprehensive inspection reports prepared by Bangladesh Bank inspection teams after head office inspection of the respective banks and submit to Bangladesh Bank compliance reports thereon along with the relevant memorandum and minutes of the board meeting. A review of the memorandums and minutes of some recent board meetings on the subject reveals that the memorandums do not always present the gravity of the irregularities/lapses focused in the inspection with due importance; sometimes major irregularities are not at all properly placed in the board memo. As a result, many major irregularities are not properly addressed as well. Therefore, the following procedures are to be followed from now on as remedial measures thereof:

1. The banks will hold special board meetings exclusively on Bangladesh Bank's comprehensive Head Office inspection reports in order to ensure proper compliance with the Comprehensive Inspection Report on the Head Office as the only agenda of said special board meeting.
2. The special board meeting shall have to be arranged within two months of receiving the Report, steps taken towards implementation/compliance with recommendations made in the Inspection Report will also have to be placed before the board in the meeting.
3. The General Manager, Deputy General Manager, Team Leader, and the inspecting Bangladesh Bank officials will attend the special board meeting.
4. Minutes of the board meeting shall have to be sent to Bangladesh Bank within 15 days of holding the special board meeting.
5. Bangladesh Bank will have to be informed of the scheduled date of the special board meeting at least 10 days in advance.
6. Status report on progress in compliance with the Inspection Report recommendations shall have to be presented at the board meeting from time to time, till completion of full compliance.

These instructions shall come into force immediately.

Yours sincerely,

Sd/-
(Nirmal Chandra Bhakta)
General Manager
Phone-7124243